BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

COURT NO. V, NEW DELHI

CA (CAA) -109/ (ND)/2022

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Arrangements) Rules, 2016.

In the matter of Demerger of

OF

INDIAN COMPRESSORS LIMITED

(Applicant Company-1 /Demerged Company)

AND

KG AURO VENTURES PRIVATE LIMITED

(Applicant Company-2/Resulting Company)

CORAM:

JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

Indian Compressors Limited

Registered Office at: 33,35 and 37, Okhla Industrial Estate, Phase III, New Delhi-110020.

...Demerged Company/Applicant Company-1

KG Auro Ventures Private Limited

Registered office at: 37, Okhla Industrial Estate, Phase III, New Delhi-110020.

...Resulting Company/Applicant Company-2

Order Delivered on*:* 23.02.2023

O R D E R

PER SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

1. This is joint application filed by the applicant companies herein, **M/S Indian Compressors Limited** (for brevity "Demerged Company") into **M/S KG Auro Ventures Private Limited** (for brevity "Resulting Company") under Section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement in the nature of demerger (hereinafter referred to as the "SCHEME") proposed between the applicants.

2. Affidavit in support of the above application sworn by Mr. Vinit Bagaria being the authorized signatory of the respective Applicant companies, who has been authorized vide board resolutions dated 03.11.2022 for the Demerged Company and Resulting Company respectively, were duly filed, along with the application. It was also represented that the registered office of the applicant companies are under the domain of Registrar of Companies, NCT of New Delhi & Haryana and within the territorial jurisdiction of this Tribunal.

3. The Applicant Company No. 1/Demerged Company, Indian Compressors Limited (CIN-U34300DL1943PLC000712) was incorporated under the provisions of the Companies Act, 1956, as a private limited company vide

Certificate of Incorporation dated 16.05.1988 having its registered office 33,35 and 37, Okhla Industrial Estate, Phase III, New Delhi- 110020, India. The Authorized Share Capital of the Demerged Company is Rs. 7,50,00,000/- divided into 72,30,000 Equity Shares of Rs. 10/- each and 2,70,000 Preference Shares of Rs. 10 each. The present issued, subscribed and paid-up share capital of the Company is Rs. 5,13,11,640/- divided into 51,31,164 Equity Shares of Rs. 10/- each.

4. The Resulting Company KG Auro Ventures Private Limited is a private limited company incorporated under the provisions of Companies Act, 2013, vide Certificate of Incorporation dated 11.03.2013 (CIN-U70100DL2022PTC394973) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at 37, Okhla Industrial Estate, Phase III, New Delhi-110020, India. The Authorized Share Capital of the Resulting Company is Rs. 15,00,000/- divided into 1,50,000 Equity shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 10,000/- divided into 1,000 Equity Shares of Rs.10/- each.

5. The Demerged Company as well as the Resulting Company have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts for the Financial Year 31.03.2022.

6. The Applicant companies, vide their meeting of the Board of Directors held on 27.08.2022 have unanimously approved the proposed Scheme of Demerger as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

7. It has been stated that the Applicant Company-1/Demerged Company has 8 Shareholders. Certificate from Chartered Accountants certifying list of

shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Applicant Company-1 has 1 Secured Creditor and 181 Unsecured Creditors and they seek to dispense with the meeting with regards to Secured Creditor in view of the consent affidavit placed by them. The Applicant Company-1 with regard to 181 Unsecured Creditors seeks for holding a meeting of the Unsecured Creditors of the Applicant Company-1, for the purpose of consideration and approval of the Scheme of arrangement in nature of demerger between the Applicant Companies.

8. It has been stated that the Applicant Company-2/Resulting Company has 2 Shareholders. Certificate from Chartered Accountants certifying list of shareholders was annexed and both of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Secured and nil Unsecured Creditor. In relation to the Shareholders/ Unsecured Creditors, it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record. Since the Company has nil Secured Creditors, therefore, the necessity of convening/holding a meeting does not arise.

9. The appointed date as specified in the Scheme is 01.04.2022 subject to the directions of this Tribunal.

10. The Applicant Companies confirmed that the provisions relating to the accounting treatment for the proposed demerger, as contained in the Scheme, were in conformity with the applicable provisions of the Companies Act, 2013. Certificates from respective Statutory Auditors of the Companies on the accounting treatment, as proposed in the Scheme, were annexed to the application and it is clearly stated that the Accounting treatment is in

conformity with the applicable prescribed under Section 133 of Companies Act, 2013.

11. The Applicant Companies have stated that no proceedings for inspection, inquiry or investigation were pending against any of the Applicant Companies.

12. Taking into consideration the submissions and the documents filed therewith, the following directions are issued with respect to convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices including by way of paper publication as follows:

A. <u>In relation to the Applicant Company-1:</u>

a) With respect to Equity shareholders: In view of consent affidavits from 8 equity shareholders, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

b) With respect to Secured Creditors: In view of consent affidavits from the Secured Creditors comprising 100% of the total amount of debt; convening the meeting of Secured Creditors is dispensed with.

c) With respect to Unsecured Creditors: The meeting of the Unsecured Creditors of the Applicant Company-1/Demerged Company cannot be dispensed with as consent of Unsecured Creditors was not obtained and Applicant Company-1 seeks for holding the meeting of Unsecured Creditors. The meeting of the Unsecured Creditors of the Applicant Company-1 is directed to be held at the venue, date, time and mode as decided by the Chairperson in consultation with the counsel for Applicant Companies. The quorum for the meeting will be 91 in number.

B. <u>In relation to Resulting Company:</u>

a) **With respect to Equity shareholders:** In view of consent affidavits, from 2 equity shareholders, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

c) **With respect to Unsecured Creditors:** There are nil Unsecured Creditor, therefore the necessity of convening a meeting does not arise.

13. Ms Archna Arora IAS (Retd.) , Mobile: 9810895757, Email id- archana80us@yahoo.com is appointed as the Chairperson. Advocate Nitin Narang, Mobile 9899358800, Email id- advocatenitinnarang@gmail.com is appointed as Alternate Chairperson and Prachi Johri ,Adv., Mobile 7828421815 Email prachi.j.17@gmail.com is appointed as Scrutinizer for the meetings of the Unsecured Creditors of the Applicant Company-1 in terms of the direction issued.

14. In case the quorum as noted above for the aforesaid meeting is not present at the meeting, then the meeting shall be adjourned by half an hour. Thereafter the persons present and voting shall be deemed to constitute the quorum. The Chairperson and Alternate Chairperson appointed herein along with the Scrutinizer shall ensure that the proxy Registers are properly maintained.

15. The Fees of the Chairperson for the aforesaid meetings shall be Rs. 1,00,000/-. The Fees of the Alternate Chairperson Shall be Rs. 75,000/- and the Fees of the Scrutinizer shall be Rs. 50,000/- in addition to meeting their incidental expenses. The Chairperson will file her report within a week from the date of holding of the aforesaid meeting. The fees of Chairperson, Alternate Chairperson and Scrutinizer along with the travelling expenses and other out of pocket expenses shall be borne by the Applicant Companies. A copy of this order shall be supplied to the learned counsels for the

Applicant Company-1 who in turn shall supply a copy of the same to the Chairperson, Alternate Chairperson and the Scrutinizer.

16. Individual notices shall be sent to the Creditors and Shareholders as above by the Applicant Company-1 through email or through registered post or speed post, 30 days in advance before the scheduled date of meeting, indicating the day, date, the place fixed for and time of meeting as aforesaid, together with a copy of the Scheme and copy of explanatory statement as required under the Companies Act, 2013 and the Rules, along with the proxy/forms and any other documents as may be prescribed under the Act. These will be provided free of cost. A compliance affidavit of service will be filed with this Tribunal.

17. The Applicant Company-1 shall publish an advertisement at least 30 clear days before the aforesaid meetings, indicating the day, date and the place fixed and time of meetings as aforesaid, which will be published in "Financial Express" (English) and "Jansatta" (Hindi), both Delhi NCR editions. The Applicant Companies shall also publish the notice on their websites, if any and file a compliance affidavit of service with this Tribunal.

The Chairperson shall be responsible to report the results of the meetings to the Tribunal in Form No. CAA 4, as per Rule 14 of the Rules within 7 (seven) days of the conclusion of the meetings. The Authorized Representative / Company Secretary of the Applicant Companies and the Scrutinizer, who will assist the Chairperson and Alternate Chairperson in preparing and finalizing the reports.

18. Voting shall be allowed on the proposed Scheme by voting in person, by proxy, through postal ballot or through electronic means as may be decided by the Chairperson in consultation with the counsel of the Applicant Companies in terms of the provisions of the Companies Act, 2013 and Rules framed there under.

19. Notice of this application shall also be served on the following:

i. Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

ii. Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

iii. Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

iv. Any other sectoral regulators required to be served.

The application stands allowed on the aforesaid term and disposed off.

Sd/-
(SHRI RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

Sd/-
(JUSTICE TELAPROLU RAJANI)
MEMBER (JUDICIAL)